

Cohu, Inc.

Q2 2026 earnings preview and beat / miss model

COHU : NASDAQ | Back-end semiconductor test equipment

1 EXECUTIVE SUMMARY

Cohu sits in the back end of the semiconductor supply chain, in the part of the line called the test cell. After a chip has been fabricated and packaged, it has to be electrically tested before it can be sold. The tester is the instrument that asks the questions; Cohu supplies almost everything else in the cell -- the handler that physically moves the device into position and holds it at a controlled temperature, the contactor that makes the electrical connection, the interface boards, the inspection and metrology tools that check the package, and increasingly the analytics software that sits on top. Its customers are integrated device manufacturers and the outsourced assembly and test subcontractors known as OSATs. Its two closest listed reference points, Teradyne and Advantest, sell the testers that Cohu's handlers dock to.

Event: Thursday 30 July 2026, 16:00 ET / 13:00 PT release; call 16:30 ET / 13:30 PT	Market cap: US\$2.0-2.1bn (aggregator range) at a US\$42.00 close on 28 July
Revenue (FY25): US\$453.0m, +13% year on year; LTM US\$481m	Gross margin: FY25 42.7% GAAP / 43.3% non-GAAP; Q1 2026 46.3% / 46.5%
Q2 2026 guidance: Revenue US\$144m +/- US\$7m; gross margin ~44%; opex ~US\$53m	Q2 2026 consensus: Revenue US\$144.08m; non-GAAP EPS US\$0.14 (FactSet)
Share count: 47.2m outstanding; ~51.5m diluted incl. convertible (est.)	Balance sheet: US\$488.7m cash and investments; US\$287.5m 1.50% convertible due 2031
HQ: San Diego, California	

The core finding of this note is arithmetic rather than thematic. Consensus of US\$144.08m of revenue and US\$0.14 of non-GAAP earnings per share is nothing more than Cohu's own guidance midpoint plugged into a model: guided revenue of US\$144m, guided gross margin of 44%, guided operating expenses of about US\$53m, Q1's net interest of US\$2m, a tax charge in line with Q1's and a diluted share count around 51.5m reproduce US\$0.140 almost exactly. The Street has therefore embedded no beat at all, in a name that has landed at or above its own revenue midpoint in each of the last three quarters.

Our conclusion is a high-probability revenue beat of modest size, a genuinely uncertain earnings beat, and a share price reaction that will be decided by the third-quarter guide rather than by the quarter being reported. We put roughly 80% probability on revenue above consensus, with a base case of US\$146m, and roughly 60% on non-GAAP EPS above US\$0.14, with a base case of US\$0.155. The reason those two probabilities differ is that everything below Cohu's gross profit line is driven by variables with nothing to do with artificial intelligence: operating expenses, which overran the company's own guidance by 10% last quarter, and an unusually heavy absolute tax charge that consumed almost all of Q1's operating profit. Teradyne, FormFactor and Advantest all beat and raised in the 48 hours before this print, which validates the demand line and tells you very little about the earnings line.

This is an event preview, not an initiation, and it contains no price target and no recommendation. The probabilities are judgements drawn from the track record and peer evidence set out below, offered so that they can be argued with.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What a test handler and a contactor actually do

Think of final chip test as an exam sat by millions of candidates. The tester is the exam paper -- an expensive instrument that asks the chip electrical questions and records the answers. The handler is the invigilator: it takes each chip out of the tray, carries it to the desk, presses it down onto the seat, keeps the room at exactly the right temperature for the whole exam, then sorts the candidates into pass, fail and re-sit bins and does it again a few thousand times an hour. The contactor is the seat itself -- a socket of tiny spring pins that has to make perfect electrical contact with every one of thousands of package pads, and which wears out and gets replaced, which is why it is a consumable rather than a capital purchase. Cohu sells the invigilator and the seats. Teradyne and Advantest sell the exam.

At an engineering level the hard problem in modern handlers is thermal, not mechanical. Semiconductor parameters are strongly temperature-dependent: leakage current rises roughly exponentially with junction temperature, and timing margins shift with it. A test that is supposed to characterise a device at a specified junction temperature is only valid if that temperature is actually held during the test. The difficulty is that the device heats itself as it is being tested, and the higher the power dissipation the faster and more unevenly it does so. A legacy automotive microcontroller might dissipate a few watts during test. An AI accelerator package -- a large silicon interposer carrying a logic die and stacks of high-bandwidth memory (HBM) -- can dissipate up to 3 kilowatts. That is a three-order-of-magnitude change in the thermal problem, and it cannot be solved by a passive heatsink and a setpoint. It requires closed-loop control: measure the die's own temperature in real time via on-die sensors, and modulate coolant flow and thermal head pressure fast enough to hold the junction inside a narrow band while power swings as test patterns change.

That is what Cohu markets as active thermal control, branded T-Core, on its Eclipse platform, and management describes closed-loop junction temperature control as the differentiator that won its recent AI processor sockets. The second engineering constraint is mechanical and specific to advanced packaging: large-format packages with organic substrates and thick interposers warp under thermal cycling, so the handler must apply enough force for reliable contact across a large pad array without cracking solder joints or damaging the interposer. Force uniformity across a warped, hot, 100mm-class package is a genuinely different problem from placing a 10mm automotive part, and it is the reason handler platforms do not simply scale up.

Product line	What it is and key specification points	Competes against
Eclipse (with T-Core active thermal control)	Pick-and-place test handler for high-performance compute and AI accelerator packages. Closed-loop junction temperature control at device power up to approximately 3kW. A new model was introduced in 2025 aimed at share expansion at test subcontractors. Named the platform of record at one US fabless AI customer, an engagement management sizes at about US\$100m of incremental revenue over three years.	Advantest handler range; Techwing; Hon Precision; Chinese entrants including Changchuan Technology
Diamond / DiamondX	Handler family for power management and analog devices. High-current capability and ultra-low resistance measurement; used for rack-scale power integrated circuits and digital controllers in data centre power delivery. About US\$5m of orders announced in May 2026.	Chroma ATE; Advantest; regional power-test specialists
Neon	Inspection and metrology system for HBM stacks and advanced packages. Revenue of US\$11m in FY25 guided to US\$15-20m in FY26, tracking to the upper end. Serviceable market sized by management at about US\$100m.	Camtek; Onto Innovation; Advantest inspection
Contactors and interface products (incl. ULTRA-S)	Consumable sockets, probe elements and interface boards, qualified per device design. ULTRA-S was qualified for precision analog IC test. This sits inside the roughly 55-63% of revenue Cohu classifies as recurring.	Techwing interface boards; Yamaichi; Smiths Interconnect; regional socket makers
DI-Core and Tignis analytics	Equipment performance monitoring, process control and prescriptive analytics software attached to installed handlers and inspection tools. Annual recurring revenue of only about US\$1.2m on an attachment rate near 1.3%, but subscriptions grew about 200% to US\$3m.	PDF Solutions; onsemi and IDM in-house tooling; Advantest ACS

Why the current cycle changes the demand profile. Cohu's historical business was levered to unit volumes in automotive, industrial, mobile and consumer -- markets where a handler is bought to add capacity and the economics are driven by throughput per dollar. The AI compute cycle changes the basis of competition from throughput to thermal capability, and it changes the revenue intensity per test cell. Three quantifications matter. First, addressable value: management raised its estimate of the AI-driven compute opportunity to about US\$750m, of which roughly US\$650m is test handlers and US\$100m HBM inspection, against total company revenue of US\$453m in FY25. The compute handler opportunity alone is now larger than the entire company. Second, the revenue ramp: high-performance computing systems revenue is guided to about US\$80-100m in FY26 from a near-standing start, which is roughly 15-18% of the FY26 revenue base, and management noted HPC systems revenue rose about US\$10m sequentially in Q1 alone. Third, price and content: a US\$30m two-customer follow-on order for Eclipse and a US\$100m-over-three-years platform-of-record engagement at a single account imply average selling prices per configured cell materially above legacy automotive handlers, though Cohu does not disclose unit ASPs, so the multiple is an estimate rather than a datapoint.

The offset, and it is central to tonight's print, is that this shift is currently margin- dilutive. On the Q4 2025 call management set out a gross margin sensitivity in which non-GAAP gross margin should reach roughly 46.7-46.8% at US\$130m of quarterly revenue and nearly 48% at US\$150m. Cohu is instead guiding Q2 gross margin of about 44% on US\$144m of revenue. The roughly 400 basis point gap between the volume-implied margin and the guided margin is the cost of the initial Eclipse ramp plus a mix shift away from high-margin recurring revenue, with a further three headwinds of about 10 basis points each from energy, freight and memory integrated circuit input costs. In other words, the AI cycle is buying Cohu revenue at a lower margin than its existing business, and the market has not yet had to decide whether that is a temporary ramp cost or the new structure.

3 SUPPLY CHAIN MAPPING

ELI5 — Cohu's position in the chain

Cohu is an assembler of precision machinery. It designs the handler, writes the control software and owns the thermal know-how, then buys in the motion components, vision systems, chillers and electronics and puts them together -- much like a specialist car maker that designs the chassis and tunes the engine but buys its gearboxes and brakes. That means its gross margin is exposed on two sides at once: what it can charge OSATs and chipmakers for the finished cell, and what it pays for the parts inside it.

Input or dependency	Supplier situation	Single-sourc e?	Risk note
Contract manufacturing of systems	Cohu's own risk factor disclosure names a sole-source contract manufacturer	Yes, per disclosure	The most concentrated dependency in the model. A disruption hits systems revenue recognition directly, which is precisely the line the AI ramp runs through.
Memory integrated circuits	Merchant DRAM and NAND market	No	Explicitly flagged by management as one of three roughly 10bp gross margin headwinds. Cohu is a memory cost taker: the same DRAM tightness that drove FormFactor's and Advantest's beats raises Cohu's bill of materials. This is the least appreciated negative read-across from the peer prints.
Precision motion, actuation and vision	Third-party industrial suppliers; not disclosed by name	Not disclosed	Standard industrial exposure. Lead times normalised post-2022 but a handler ramp of the speed implied by the HPC guide stresses supplier scheduling.
Thermal subsystems (chillers, thermal heads, coolant loops)	Mix of in-house engineering and bought-in subsystems	Not disclosed	The differentiating subsystem on Eclipse. In-house content here is what management is describing when it calls thermal capability proprietary.

Input or dependency	Supplier situation	Single-source?	Risk note
Energy and freight	Utilities and logistics markets	No	Each named as an approximately 10bp gross margin drag in Q1. Small individually, but together with memory ICs they account for roughly 30bp of the guided margin step-down.
Manufacturing and test footprint	Operations across the United States, Philippines, Malaysia, Singapore and China	n/a	Asian assembly footprint is close to the OSAT customer base. Tariff and China-exposure risk is unusually low for the sector: China is only a low single-digit percentage of consolidated revenue.

The geographic picture is a genuine relative strength. Where several semiconductor equipment names carry double-digit China revenue exposure and the attendant export-control risk, Cohu reported China at a low single-digit percentage of consolidated results. The corresponding weakness is on the input side rather than the output side: with a sole-source contract manufacturer for systems and a bill of materials that includes merchant memory, Cohu's margin is more exposed to component inflation than to trade policy.

4 COMPETITIVE LANDSCAPE

Handler market share estimates vary by source and definition; the figures below are third-party market-research estimates and should be read as directional. The consistent picture across sources is a two-player lead in handlers, with Advantest ahead of Cohu, a long tail of regional specialists, and Chinese entrants moving up-market on price.

Company	HQ	Revenue	Handler share (est.)	Key differentiator	Weakness vs. Cohu
Advantest (6857.T)	Tokyo, Japan	Y367.5bn in the June 2026 quarter alone, +39% y/y; operating income Y190.0bn	~29%, ahead of Cohu	Sells the tester and the handler together. The V93000 platform is described by management as a de facto standard in CPU test with roughly 66% SoC tester share in 2025.	Bundling is also a constraint: OSATs that want tester-agnostic cells favour an independent handler supplier, which is Cohu's structural opening.
Cohu (COHU)	San Diego, USA	US\$453.0m FY25; US\$481m LTM	~21-24%	Largest independent handler vendor; closed-loop junction temperature control at up to ~3kW; 55-63% recurring revenue from contactors, spares and service.	Subject company. One-tenth of Advantest's revenue and a fraction of its R&D budget.
Teradyne (TER)	North Reading, USA	US\$1,329m in the June 2026 quarter, +104% y/y	Minimal in handlers	Tester incumbent with a large robotics arm; acquired a probe-card design house in 2025, signalling appetite for consumable margin.	Not a direct handler competitor today, but vertical integration into test-cell consumables is the most credible route by which a large player could attack Cohu's recurring base.
Techwing (089030.KQ)	Hwaseong, South Korea	Not disclosed here	Top-five handler vendor	Memory handler specialist with deep integration at Korean DRAM and NAND makers; also supplies change kits and test interface boards.	Concentrated on memory, so it has less exposure to the automotive, industrial and analog verticals that generate Cohu's recurring revenue.
Chroma ATE	Taoyuan, Taiwan	Not disclosed here	Regional specialist	Strong in power and analog test in the Taiwan ecosystem, adjacent to Cohu's Diamond family.	Narrower thermal capability at data-centre power levels and a weaker Western IDM footprint.
Changchuan Technology and Chinese entrants	China	Not disclosed here	Top-five by units, China-weighted	Domestic supply for Chinese OSATs, with third-party research citing price undercutting of 20-30% and 28nm-capable tooling.	Not yet credible at AI accelerator thermal specifications -- but this is the direction of travel, and Cohu's low China revenue means it defends rather than participates.

The moat has three components and they are of unequal quality. The strongest is the recurring consumable base: contactors and change kits are qualified against a specific device design and a specific handler, so

once a device is in production the socket supplier is effectively locked for the life of that product. That is why recurring revenue rose for four consecutive quarters through a downturn in which systems revenue fell. The second is thermal process know-how -- the control loops, sensor integration and thermal head design that let a handler hold junction temperature at kilowatt power levels. This is real engineering advantage, evidenced by the platform-of-record win, but it is know-how rather than patent protection and Advantest is working the same problem. The third and weakest is switching cost at the platform level: qualifying a new handler platform at an OSAT is expensive and slow, which cuts both ways -- it protects Cohu's installed base and it is exactly what slows Cohu's own share gains, as the five customers still sitting in qualification demonstrate.

The most credible threat to the moat is Advantest, specifically the bundling of a thermally capable handler with the V93000 tester at the AI accelerator accounts Cohu is trying to win. Advantest has just raised its view of the calendar 2026 tester market by roughly 19% and is pulling forward capacity expansion; if it chooses to price handlers as an attach to tester sales in order to defend socket share at hyperscaler-adjacent fabless customers, Cohu's US\$650m compute handler opportunity narrows and its 44% guided gross margin becomes a ceiling rather than a ramp cost. The second-order threat is Teradyne's stated appetite for consumable margin following its 2025 probe-card acquisition, which points at the contactor business that generates most of Cohu's gross profit.

5 MANAGEMENT & GOVERNANCE

Luis Muller has been president and chief executive since December 2014, a tenure of about 11.6 years spanning two full semiconductor cycles and the 2018 Xcerra acquisition that doubled the company. Total annual compensation of about US\$4.5m is roughly 16% salary and 84% bonus and equity, which is an appropriately levered structure. Jeffrey Jones is senior vice president of finance and chief financial officer and delivers the quarterly guidance on gross margin and operating expenses that this note turns on.

The guidance accuracy record is the part of the management assessment that matters tonight, and it splits cleanly. On revenue, management is reliable and mildly conservative: actual revenue has come in at or above the guided midpoint in each of the three quarters for which a clean comparison exists, by +1.0%, +0.2% and +2.5%, an average of about +1.2%. On its own cost base, management is not reliable. Q1 2026 operating expenses came in at US\$55.0m against a guide of about US\$50m, a 10% overrun, attributed to design materials, engineering and field support to fulfil HPC production orders and complete qualifications. Gross margin in the same quarter beat its guide by about 150 basis points on favourable recurring mix. The pattern is a management team that forecasts demand well, forecasts spending badly, and has spent the last two quarters missing consensus earnings for reasons entirely below the gross profit line.

Capital allocation has been competent and opportunistic on the financing side and passive on the return side. In September 2025 Cohu issued US\$287.5m of 1.50% convertible senior notes due January 2031 at an initial conversion price of US\$27.1758, a 32.5% premium to a US\$20.51 reference price, with capped call transactions lifting the effective conversion price to US\$41.02. Raising five-year money at 1.50% with the stock at US\$20.51 was good execution; the consequence is that with the shares at US\$42.00 the cap has been breached and incremental share-price appreciation now dilutes. Against that, Cohu has repurchased no stock in any of the last three quarters despite holding US\$488.7m of cash and investments, and it pays no dividend. Capital expenditure is disciplined at a target of about 2% of revenue. The February 2025 acquisition of Tignis brought the AI process-control software that underpins the analytics strategy, though at roughly US\$1.2m of annual recurring revenue that strategy is still a narrative rather than a number.

Insider alignment is moderate and the recent direction of travel is negative. Sources disagree on aggregate insider ownership, with estimates ranging from about 3% to about 8% of shares outstanding, so treat the level as a range rather than a figure; Muller himself directly holds 927,619 shares, roughly 2% of the company, plus 508,101 restricted stock units. Over the six months to late July there were nine open-market insider transactions and all nine were sales. In the last full quarter insiders sold about 90,668 shares for

roughly US\$4.2m, including 45,154 shares by Muller at a weighted average US\$46.62 on 22 May, 13,000 shares by Jones, and sales by directors Steven Bilodeau and James Donahue. Filings and press coverage describe the chief executive's sale as covering tax withholding on vesting equity, which materially softens the signal, and all of it occurred well before the print. It is nonetheless a uniformly one-way pattern into strength.

Governance is clean in structure. There is a single class of common stock with no dual-class control, no disclosed related-party transactions of consequence, and all six shareholder proposals passed at the May 2026 annual meeting. The one soft flag is board tenure: average director tenure of roughly 11.6 years against average management tenure of 4.6 years, with only one new director in three years. A long-serving board alongside an 11-year chief executive is a familiar independence question rather than an acute one. Overall assessment: aligned, technically competent, credible on demand forecasting, and demonstrably weak at forecasting its own operating expenses -- which is the specific competence this print requires.

6 FINANCIAL TRAJECTORY AND THE Q2 2026 MODEL

Period	Revenue	Non-GAAP gross margin	Recurring % of revenue	Non-GAAP EPS	Note
Q2 2025A	US\$107.7m	44.4%	63%	US\$0.02	Trough-adjacent; test cell utilisation 75%
Q3 2025A	US\$126.2m	44.1%	55%	(US\$0.06)	Convertible notes issued 29 September
Q4 2025A	US\$122.2m	n/d (FY25 43.3%)	~62%	(US\$0.15)	Inventory charges; utilisation 76% in December
FY2025A	US\$453.0m	43.3%	n/a	(US\$0.22)	+13% y/y; GAAP loss US\$74.3m or US\$1.59 per share
Q1 2026A	US\$125.1m	46.5%	60%	US\$0.01	Orders +57% y/y; utilisation 78%; opex US\$55.0m vs ~US\$50m guide
Q2 2026E (guide)	US\$144m +/- 7m	~44%	~53-55% (est.)	US\$0.14 cons.	+15% q/q, +34% y/y
FY2026E (guide)	+20-25% y/y, i.e. US\$544-566m	mid-40s%	n/a	US\$0.54 cons. (wide range)	HPC revenue US\$80-100m; HBM US\$15-20m

ELI5 — Why the model is simpler than it looks

Cohu's costs below the gross profit line barely move with revenue in a single quarter. So the quarter behaves like a lever: every extra dollar of sales drops about 44 cents of gross profit onto an almost fixed cost base. On a 51.5m share count, each US\$1m of revenue above guidance is worth roughly US\$0.0085 of earnings per share. That means a US\$6m revenue beat is worth about five cents of EPS -- and a US\$2m operating expense overrun destroys about four cents of it. The whole print is that tug of war.

Step one is to establish what consensus actually contains. Building the guided midpoint straight through the P&L -- revenue US\$144m, gross margin 44.0%, operating expenses US\$53.0m, net interest and foreign exchange US\$2.0m, a tax provision of US\$5.2m and 51.5m diluted shares -- produces non-GAAP EPS of US\$0.139. Consensus is US\$0.14. The Street has modelled the guidance and stopped. That is the single most useful fact in this preview, because it means the bar is not a judgement about Cohu's business; it is Cohu's own April forecast.

US\$m unless stated	Q1 2026A	Consensus (guide mid)	Bear	Base	Bull
Net sales	125.1	144.0	138.0	146.0	152.0
Gross margin %	46.5%	44.0%	43.0%	44.3%	45.5%
Gross profit	58.2	63.4	59.3	64.7	69.2
Operating expenses	55.0	53.0	55.5	53.5	52.5

US\$m unless stated	Q1 2026A	Consensus (guide mid)	Bear	Base	Bull
Operating income	3.2	10.4	3.8	11.2	16.7
Net interest and FX	2.1	2.0	2.0	2.0	2.2
Pre-tax income	5.3	12.4	5.8	13.2	18.9
Tax provision	(4.8)	(5.2)	(4.2)	(5.2)	(6.0)
Non-GAAP net income	0.5	7.2	1.6	8.0	12.9
Diluted shares (m)	47.5	51.5	51.5	51.5	51.5
Non-GAAP EPS (US\$)	0.01	0.139	0.032	0.155	0.250
Revenue vs consensus	n/a	n/a	(4.2%)	+1.3%	+5.5%
EPS vs consensus	n/a	n/a	(77%)	+11%	+78%
Probability weight	n/a	n/a	20%	55%	25%

The base case takes revenue at the guided midpoint plus the +1.3% average beat of the last three quarters, gross margin 30 basis points above guide on the assumption that recurring mix again runs slightly ahead, and operating expenses 50 basis points above guide because Q1 showed the direction of the error. That yields US\$146m and US\$0.155, a 1.3% revenue beat and an 11% earnings beat. Probability-weighting the three scenarios gives an expected US\$145.9m of revenue and US\$0.154 of EPS. The distribution is wide and asymmetric: the bull case is not a demand story but a cost story, and the bear case is not a demand story either.

The sensitivity below makes the binary explicit. At the guided 44% gross margin, Cohu can spend up to roughly US\$53.8m of operating expenses on US\$146m of revenue and still print US\$0.14. It guided US\$53m. It spent US\$55m last quarter. A repeat of that overrun costs about four cents and converts a revenue beat into an earnings miss.

Non-GAAP EPS at US\$146m revenue	GM 42.5%	GM 43.5%	GM 44.5%	GM 45.5%	GM 46.5%
Operating expenses US\$50.0m	0.172	0.200	0.229	0.257	0.285
Operating expenses US\$51.5m	0.143	0.171	0.199	0.228	0.256
Operating expenses US\$53.0m (guide)	0.114	0.142	0.170	0.199	0.227
Operating expenses US\$54.5m	0.084	0.113	0.141	0.170	0.198
Operating expenses US\$55.0m (Q1 actual)	0.075	0.103	0.132	0.160	0.188
Operating expenses US\$56.0m	0.055	0.084	0.112	0.140	0.169

One line deserves separate attention because it is easy to miss and it did most of the damage last quarter. Cohu's tax provision is large in absolute terms and almost insensitive to pre-tax income: Q1's charge of US\$4.8m sat against US\$5.3m of non-GAAP pre-tax income, an effective rate near 90%, because profitable foreign subsidiaries pay cash tax while United States losses sit behind a valuation allowance. Modelling Cohu on an assumed effective tax rate rather than an absolute dollar charge is the commonest way to get this name wrong. In the base case a US\$5.2m provision is a 39% effective rate; a US\$1m error on that line is worth about two cents.

Balance sheet items that matter. Cash and investments of US\$488.7m against US\$330.1m of carried debt gives net cash of roughly US\$158.6m, about US\$3.36 per share, so the balance sheet is not a source of stress. The debt is the US\$287.5m 1.50% convertible due January 2031; principal is cash-settled on conversion with any excess in cash or shares, and the capped calls only neutralise dilution to US\$41.02 per share. With the stock at US\$42.00 that ceiling has been passed, which is why the diluted share count used here is about 51.5m rather than the 47.2m outstanding -- an estimate, and a 2m share error is worth about half a cent. GAAP results remain loss-making because of acquired intangible amortisation from the Xcerra

deal, so any GAAP headline figure printed tonight will look far worse than the non-GAAP number consensus is set against. Do not confuse the two: the aggregator that reports Q1 2026 as a US\$0.26 loss and the one that reports it as US\$0.01 of profit are both right.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Q2 2026 revenue above the US\$144.08m consensus	Tonight, 16:00 ET	The mechanical outcome if the pattern of the last three quarters holds. Base case US\$146m. On its own, likely to be treated as in line, because a 1-2% revenue beat is what this company always delivers.	High (~80%)
Q2 2026 non-GAAP EPS above US\$0.14	Tonight, 16:00 ET	Requires operating expenses at or below roughly US\$53.8m alongside gross margin at or above 44%. Base case US\$0.155. This is the line that has missed twice running.	Medium (~60%)
Q3 2026 revenue guide midpoint at or above US\$150m	Tonight, on the call	The single most important number of the event. The existing FY26 outlook of 20-25% growth only requires about US\$137-148m per quarter in the second half, so US\$150m or better is a genuine raise rather than arithmetic.	Medium (~55%)
FY26 revenue growth outlook lifted above 20-25%	Tonight, on the call	Would be the second raise in two quarters and the cleanest confirmation that the Eclipse qualifications are converting. Watch for the HPC revenue range being narrowed toward the US\$100m top end rather than the US\$80m bottom.	Low to medium (~35%)
Conversion of the five HPC customers in qualification	H2 2026 into 2027	Twelve customers in the compute pipeline, five in qualification, seven in early engagement, against a US\$650m handler serviceable market. Each conversion is a multi-year annuity in contactors and spares, not a one-off systems sale.	Medium
Industrial test cell utilisation crossing 80%	H2 2026	Industrial utilisation was 79% at end-March, just under the threshold at which customers historically buy capacity. Management attributed about half of the guided Q2 sequential increase to non-compute markets, principally industrial. Crossing 80% would inflect the high-margin recurring line rather than the low-margin HPC line.	Medium
Neon HBM inspection follow-on orders	H2 2026	HBM revenue of US\$11m in FY25 guided to US\$15-20m and tracking to the upper end. Small in absolute terms but it is Cohu's only direct participation in the memory cycle that just drove FormFactor and Advantest higher.	Medium
Resumption of share repurchase	Any quarter	No buyback in any of the last three quarters despite US\$488.7m of cash. With the stock 44% below its 52-week high and 12.9% of the float short, a repurchase authorisation would be a meaningful signal.	Low

Risk one: the operating expense line, again. Cohu guided Q1 operating expenses to about US\$50m and spent US\$55.0m, and the explanation was not one-off -- design materials, incremental engineering and field support to fulfil production orders and complete new-opportunity qualifications. Q2 carried more of exactly that activity, with five HPC customers in qualification, so the pressure is if anything greater than in Q1. At the base case revenue and gross margin, operating expenses of US\$55m rather than the guided US\$53m takes EPS from US\$0.155 to about US\$0.132, turning a revenue beat into an earnings miss. This is the highest probability path to a disappointing headline tonight, and it has nothing to do with demand.

Risk two: the Eclipse ramp caps gross margin structurally rather than temporarily. Management's own volume sensitivity implied non-GAAP gross margin of nearly 48% at US\$150m of quarterly revenue; the Q2 guide is 44% on US\$144m. If the roughly 400 basis point shortfall is the steady-state cost of competing in AI accelerator handlers -- lower systems margins, heavier field support, memory IC and freight inflation -- then the FY27 consensus earnings recovery that supports the current multiple is built on margins Cohu will not reach. The tell on the call is whether management frames the 44% as ramp cost with a stated path back to the mid-to- high 40s, or simply reiterates a mid-40s full-year range.

Risk three: Advantest bundles handlers with V93000 testers at the AI accounts. Advantest holds roughly 29% of the handler market against Cohu's 21-24%, describes the V93000 as a de facto standard in CPU test with about 66% SoC tester share, and has just raised its calendar 2026 tester market view by around 19% while pulling capacity expansion forward. It has every incentive to defend socket share at the fabless AI customers where Cohu has just been named platform of record. If handler pricing becomes an attach to tester sales, Cohu's US\$650m compute opportunity compresses and the 44% gross margin becomes the ceiling.

Risk four: Cohu pays for the memory upcycle it barely participates in. Management named memory integrated circuit costs as one of three roughly 10 basis point gross margin headwinds. DRAM pricing strength is precisely what drove FormFactor's DDR mix shift and Advantest's record memory tester quarter. Cohu buys memory into its systems and sells only about US\$20m of HBM inspection into the same cycle, so on a net basis a tighter memory market is a margin negative for Cohu even as it is a revenue positive for its peers. Anyone extrapolating the peer prints to Cohu's margin line has the sign wrong.

Risk five: revenue recognition timing on first-article Eclipse installations. HPC systems are new platforms going into customer qualification flows, and revenue on a first install typically waits on customer acceptance. A single multi-unit Eclipse shipment slipping past the quarter end is worth several million dollars of revenue and several cents of EPS, and it would look exactly like demand weakness in the headline while being a scheduling artefact. The follow-on orders announced on 2 April totalled US\$30m across two customers, which gives a sense of the lumpiness involved relative to a US\$144m quarter.

Risk six: customer concentration. Two customers each exceeded 10% of sales in Q4 2025, and ten customers accounted for 63% of bookings entering 2026, though no single customer exceeded 10% in Q1 2026. The platform-of-record win that anchors the HPC thesis is at one named US fabless account and is sized by management at about US\$100m over three years. That is a large single-account dependency for a company with US\$453m of annual revenue, and it is a fabless AI customer in a month when the market has begun questioning AI capital spending.

Risk seven: the tape, and the convertible. Semiconductor equities have shed more than a trillion dollars of value in July on AI capital spending scepticism, Chinese domestic equipment progress and renewed rate concerns, with the Nasdaq 100 roughly 10% off its high. Cohu has fallen about 21% in a month and roughly 44% from its 52-week high while sell-side price targets were being raised to US\$65-80, so positioning and published targets are unusually far apart. In that environment a modest beat can be sold. Two structural features cut the other way: 12.9% of the float is short, and the US\$41.02 capped-call ceiling on the convertible means that above that level upside is shared with the note holders.

8 VALUATION CONTEXT

Company	Mkt cap	Revenue basis	P/E	Revenue growth	End-market exposure
Cohu (COHU)	US\$2.0-2.1bn	US\$481m LTM; FY26E US\$544-566m	~78x on FY26E US\$0.54 consensus; no meaningful GAAP P/E (loss-making)	+13% FY25; +20-25% guided FY26	Automotive, industrial, mobile, consumer plus a new US\$80-100m HPC line; ~55-63% recurring; China low single-digit %
FormFactor (FORM)	Mid-cap; above US\$1bn revenue run-rate	US\$258.2m in the June quarter, +31.9% y/y	Profitable on both bases; non-GAAP EPS US\$0.82 in the quarter	+31.9% y/y in Q2 2026	Wafer-level probe cards. HBM and DRAM led, co-packaged optics growing, foundry logic and CPU broadening
Teradyne (TER)	~US\$53bn (mid-July)	US\$1,329m in the June quarter, +104% y/y	Profitable; non-GAAP EPS US\$2.47 in the quarter	+104% y/y in Q2 2026	SoC and memory testers plus robotics. Directly levered to AI compute and HBM test intensity

Company	Mkt cap	Revenue basis	P/E	Revenue growth	End-market exposure
Advantest (6857.T)	Large-cap Japanese	Y367.5bn in the June quarter, +39% y/y	Profitable; operating income Y190.0bn in the quarter	+39% y/y	SoC and memory testers plus handlers. ~66% SoC tester share; raised CY26 tester market view by ~19%

Two caveats on the multiples. First, forward earnings estimates for Cohu are unusually dispersed: one aggregator carries FY26 consensus EPS of US\$0.54 while another carries about US\$0.17 for the same year, a range wide enough that any single P/E figure is close to meaningless. Second, enterprise value is a better anchor than the equity multiple. Net cash of roughly US\$158.6m against a US\$2.0-2.1bn market capitalisation gives an enterprise value near US\$1.9bn, or about 3.3-3.5 times the FY26 guided revenue range -- a demanding but not extreme multiple for a business inflecting from a 13% growth year into a 20-25% growth year, and well below where the tester names trade on the same basis.

Bull case. The industrial cycle and the AI cycle arrive together. Industrial test cell utilisation crosses 80%, which historically triggers capacity purchases, and the recurring line -- already up for four consecutive quarters -- reaccelerates at 50%-plus incremental gross margin at the same time as the five qualifying HPC customers convert and the FY26 HPC range resolves toward US\$100m rather than US\$80m. Under those conditions the volume sensitivity management laid out in February applies and gross margin travels back toward the high 40s as Eclipse ramp costs annualise, with operating expenses held in the low US\$50m range. Revenue reaches the top of the guided FY26 band, FY27 consensus of about US\$606m becomes conservative, and the company earns something that makes the current enterprise value look cheap rather than demanding. On that path the current 44% drawdown from the 52-week high, against sell-side targets of US\$65-80, plus a 12.9% short interest, is the setup for a violent re-rating.

Bear case. The AI revenue is real and the profit is not. Cohu wins the sockets but on handler economics that structurally sit in the low 40s rather than the high 40s, because Advantest is prepared to bundle and because large-format thermal handlers carry permanently heavier field support and bill-of-materials cost. Operating expenses ratchet to US\$55m and stay there to service qualifications, the tax charge continues to consume most of the operating profit, and the company reports another year of GAAP losses while non-GAAP earnings per share stays in the low tens of cents. Meanwhile the industrial recovery -- half of the guided Q2 sequential increase -- stalls with utilisation stuck below 80%, and Chinese handler vendors undercutting by 20-30% take the volume tier of the market. In that world the stock is a low-margin capital-equipment cyclical carrying a growth multiple, and the de-rating trigger is not this quarter's revenue but the first quarter in which the HPC guide is cut.

9

WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

You cannot watch everything. This table names the single data point in each upcoming report that will actually move the name, so that monitoring time goes to the reports that can change a decision rather than the ones that merely produce news.

Company	Next earnings	Days away	The one metric	Why it matters
Cohu (COHU)	30 Jul 2026 (Q2)	Today	Q3 2026 revenue guide midpoint against a US\$150m bar, and the Q3 operating expense guide against US\$53m	The reported quarter is largely determined. The guide is not. A Q3 midpoint at or above US\$150m is a genuine raise because the standing FY26 outlook only requires about US\$137-148m per quarter in the second half. An opex guide back at US\$55m tells you the HPC ramp is being bought rather than earned.

Company	Next earnings	Days away	The one metric	Why it matters
Advantest (6857.T)	Late Oct 2026 (Q2 FY26, est.)	~90 days	Handler commentary and any move to bundle handlers with V93000 tester sales at AI accounts	This is the single largest threat to Cohu's compute thesis. Advantest already raised its CY26 tester market view by ~19% and is pulling capacity forward; if handler attach becomes explicit strategy, Cohu's US\$650m serviceable market and its 44% gross margin both compress.
FormFactor (FORM)	Late Oct 2026 (Q3, est.)	~90 days	Whether the DRAM mix shift from HBM toward DDR persists, and CPO revenue against the raised above-US\$20m FY26 path	FormFactor is the cleanest read on device-level volumes because probe cards are consumables replaced per design. A sustained DDR shift signals broad wafer starts, which pulls Cohu's recurring contactor and spares line more than its HPC systems line.
Teradyne (TER)	Late Oct 2026 (Q3, est.)	~90 days	Second-half 2026 visibility, and any further move into test-cell consumables after the 2025 probe-card acquisition	Teradyne shipments pull Cohu handler demand with a lag, so its Q4 order commentary is a leading indicator for Cohu's Q1 2027. The consumables strategy is the medium-term threat to the contactor annuity that generates most of Cohu's gross profit.

Prioritisation. Everything is tonight. The order in which to read the release is: first the Q3 revenue guide, because at a US\$150m midpoint or better the FY26 arithmetic has been raised again and the reported quarter becomes irrelevant; second the Q3 operating expense guide, because that is where management either demonstrates or abandons cost control after Q1's US\$5m overrun; third the gross margin guide, to see whether the 44% is framed as Eclipse ramp cost with a stated path back up or simply reiterated; and only fourth the reported revenue and earnings, which the model above already brackets fairly tightly. Note also that the press release lands at 16:00 ET with the call at 16:30 ET, so the guidance numbers arrive with the release rather than an hour later -- if you are reading this outside North America, that is the early hours of 31 July local time, not the following working day.

A

VERIFICATION LOG

Companies checked: 6 (Cohu, Teradyne, FormFactor, Advantest, Techwing, Chroma ATE). Verified clean: 4. Flagged: 2. Verification date: 30 July 2026.

Item	Status	Note
COHU ticker and exchange	CLEAN	NASDAQ: COHU confirmed via company IR and multiple aggregators
Q2 2026 report date and time	CLEAN	Company press release 16 July 2026: Thursday 30 July 2026, 13:00 PT / 16:00 ET
Q2 2026 guidance (revenue, GM, opex)	CLEAN	Revenue US\$144m +/- US\$7m from the Q1 press release and 8-K exhibit; GM ~44% and opex ~US\$53m from the Q1 call
Q1 2026 actuals	CLEAN	Revenue US\$125.1m, GAAP loss US\$0.26, non-GAAP US\$0.01, GM 46.3%/46.5%, opex US\$55.0m, cash US\$488.7m -- SEC 8-K exhibit 99.1
Q2 2026 consensus US\$144.08m / US\$0.14	CLEAN	FactSet via TradingView preview and a Reuters earnings preview dated 29 July 2026; two independent restatements of the same feed
FY25 revenue US\$453.0m	CLEAN	Company Q4 2025 release; cross-checked against aggregator FY25 figure of US\$452.96m
Peer Q2 2026 prints (TER, FORM, 6857.T)	CLEAN	Teradyne US\$1,329m and US\$2.47; FormFactor US\$258.2m and US\$0.82 with Q3 guide US\$270m; Advantest Y367.5bn and Y190.0bn operating income
Convertible terms	CLEAN	US\$287.5m 1.50% due 15 Jan 2031, conversion price US\$27.1758, capped-call effective price US\$41.02 -- pricing and closing releases
Market cap and share price	EST.	Presented as a US\$2.0-2.1bn range. Aggregators disagree materially and several cached pages carry stale prices; US\$42.00 is the 28 July close per two sources
Diluted share count 51.5m	EST.	Built up as 47.2m outstanding plus ~1.3m equity awards plus ~3.0m convertible excess shares. The convertible component depends on the average share price over the quarter, which is not observable here. A 2m error is worth ~US\$0.006 of EPS

Item	Status	Note
Q2 2026 tax provision US\$5.2m	EST.	Extrapolated from Q1's US\$4.8m absolute charge. Cohu does not guide a dollar tax figure. This is the second-largest source of EPS error in the model after opex
Recurring revenue % for Q2 2026	EST.	Modelled at 53-55% versus 60% in Q1, reflecting the systems-led sequential increase. Not guided
Handler market shares	FLAGGED	Third-party market research only, and sources disagree: Advantest ~29% with Cohu ~24% in one study, Cohu ~21% as leader in another. Directional, definition-dependent, not company-reported
Insider ownership percentage	FLAGGED	Sources range from ~3.05% to ~8.43% of shares outstanding. Muller's direct 927,619 shares is filing-confirmed and equates to ~2.0%; the aggregate is not reliable
Insider sale attribution (10,257 shares, 20 May)	FLAGGED	Two outlets attribute the same trade to different directors (Steven Bilodeau and James Donahue). Both are named as sellers in the period; the individual attribution is unresolved
FY26 consensus EPS	FLAGGED	US\$0.54 from one aggregator versus about US\$0.17 from another for the same fiscal year. The valuation section notes this rather than picking one
Techwing and Chroma ATE financials	EST.	Ticker for Techwing confirmed as KOSDAQ 089030. Revenue not verified for either and therefore not stated. Chroma ATE ticker deliberately omitted as unverified
Options-implied move	NOT OBTAINED	Not available through the sources used. Recommend pulling the front-expiry straddle directly before acting on the reaction framing

B ACRONYM GLOSSARY

Acronym	Full name and meaning
ASP	Average selling price
ATE	Automated test equipment -- the tester instrument itself
CPO	Co-packaged optics -- optical engines integrated into the same package as the switch or compute die
DDR	Double data rate -- conventional commodity DRAM, as distinct from HBM
DRAM	Dynamic random-access memory
EPS	Earnings per share
GAAP	Generally Accepted Accounting Principles -- the reported basis, including intangible amortisation
GM	Gross margin
HBM	High-bandwidth memory -- DRAM dies stacked vertically and connected by through-silicon vias
HPC	High-performance computing -- Cohu's label for its AI and data centre compute business
IDM	Integrated device manufacturer -- a chipmaker that owns its own fabs and test
MEMS	Micro-electro-mechanical systems -- the fabrication approach used for fine-pitch probe and contactor elements
NAND	Non-volatile flash memory
OSAT	Outsourced semiconductor assembly and test -- the subcontractors that package and test chips for fabless customers
P/E	Price-to-earnings ratio
RSU	Restricted stock unit
SAM	Serviceable available market -- the addressable subset a company's products can actually serve
SoC	System on chip
TAM	Total addressable market
xPU	Generic term for a compute processor -- CPU, GPU or custom accelerator

C DISCLAIMER

This document is internal research prepared for portfolio decision support. It is not investment advice, it contains no price target and no recommendation to buy, sell or hold any security. The probabilities stated are subjective judgements derived from the guidance track record and peer evidence set out above, not statistical confidence intervals, and they were formed before the release of Cohu's Q2 2026 results. Estimates are labelled as such in the Verification Log and all figures should be independently verified against primary filings before use. Forward-looking statements attributed to management are the company's, not the author's.